

Calderwood Partners LLC

www.calderwoodpartners.com

February 19, 2014

David Carter
Director of Operations
Pacheco-Casey

Re: Engagement to redesign the procurement function of Pacheco-Casey

Dear Mr. Carter:

The question you have put to us is a direct one. What Pacheco-Casey spends with its outside suppliers, whether that spend is bought as well as it could be, and what it would take to buy it better without disturbing the plants. This letter sets out the terms on which we will answer it. It follows our conversations over the winter and the spend records your finance group sent afterward. It records what we will do, who will do it, what we will need from you, and the commercial terms that govern the work between us. When you have countersigned the enclosed copy and returned it to me, this letter is the agreement between our two firms.

What the Work Covers

The engagement examines third-party spend across the business and the way that spend is bought. The work has three parts. The first is a complete and reconciled picture of what the company buys, from whom, and at what price, drawn from your own purchasing and accounts-payable records rather than from a benchmark carried in from another company. The second is an analysis of where that spend departs from what a disciplined buying process would produce: purchasing fragmented across more suppliers than a category needs, prices and terms that vary from one site to the next without a reason the records explain, and specifications set by habit. The third is a procurement operating model and a sequenced set of changes, each one costed, for closing the gap between the two. We will tell you what to change, in what order, and what each change is worth.

Certain matters sit outside this engagement and can be taken up separately if you wish. We will recommend changes to suppliers, terms, and buying practice; we will not negotiate with your vendors or place orders in your name, and the decisions on staffing and contracts remain yours. The selection or installation of purchasing systems, and any change to your tax or corporate structure, are not within our scope. Where the work meets a question we have not been engaged to answer, we will say so plainly rather than answer it by assumption.

How We Will Proceed

We begin with your own records rather than a template drawn from someone else's business. In the opening weeks we build the spend baseline, reconcile it to your general ledger, and interview the people who buy and the plant managers who live with what is bought, so that every figure we later place in front of you can be traced to one your staff already recognizes. From that base we frame the options and test each against your operating constraints before it reaches you as a recommendation. Work begins on March 1, 2014, and we expect the engagement to run about eight months from that point.

The Team

Brenda Rodriguez, Senior Consultant, leads the analysis and the drafting of the findings and is your principal point of contact on the substance of the work. Matthew Parrish, Research Associate, assembles and reconciles the spend data and is the person your finance staff will work with directly on the numbers. Daniel Leach, Research Associate, supports the category analysis and keeps the interview record. I review the analysis and the recommendations before they reach you, and I am accountable to you for the quality of both.

Fees and Payment

Our fee for the engagement is \$110,500, fixed for the scope described above. We invoice monthly for the work performed in the preceding month, and each invoice is payable within thirty days of its date. Reasonable travel and out-of-pocket expenses are billed at cost and shown separately. Work beyond the scope of this letter is not begun on assumption; if you ask us for something it does not cover, we will price it and agree it with you before we start.

Term and Termination

This agreement takes effect on the date you sign below and continues until we have delivered the final report and you have settled the final invoice. Either party may end it on thirty days' written notice to the other. On termination you will pay us for the work performed and the expenses incurred through the effective date, and we will hand over our work product as it then stands, with a short written account of where the engagement had reached.

Confidentiality

We will hold the information you give us in confidence and use it only for this engagement. Access is limited to the team named above and to those in our office whose work requires it. We will not disclose your information outside the firm without your written consent, except where a court or a regulator with jurisdiction compels it, and in that event we will tell you first where we are permitted to. This obligation continues after the engagement ends.

Limitation of Liability

Our liability to you arising out of this engagement, whether in contract or in tort, will not exceed the total fees paid to us under it, except in the case of our fraud or willful misconduct. Neither party will be liable to the other for indirect or consequential loss, including lost profits, whether or not the possibility of it was made known. Our analysis rests on the accuracy and completeness of the information you provide; we will test what we reasonably can, but we do not audit it.

Governing Law

This agreement is governed by the laws of the state in which our principal office is located, without regard to its conflict-of-laws rules. Before either side begins proceedings, the two of us will try to settle any dispute through discussion between senior representatives. This letter is the entire agreement between us on its subject and may be amended only in writing signed by both parties.

If these terms reflect your understanding, please countersign both copies, keep one for your file, and return the other to me. If any part of them does not, telephone me and we will settle it before you sign. We are glad to be taking on this work, and the team is ready to begin with your people at Pacheco-Casey.

Very truly yours,

Julie Ramsey

Managing Principal

Date: February 19, 2014

David Carter

Director of Operations, Pacheco-Casey

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